

CHAPTER 4

Preparing to Invest

When you are well prepared you are better able to recognize opportunities.

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For some reason, luck is strongly associated with rich people. One of the assumptions often made about everyday people who become independently wealthy is that they've had some miraculous stroke of luck in life that has brought them financial success. While this might be the case for a few outliers (for instance, recipients of inheritances, windfalls, or lottery winnings), the reality is that the “luck” of most everyday wealthy people comes from their setting specific intentions, having the right mindset, and preparing themselves to pursue and achieve the financial success they desire.

Investing in the stock market is a pathway to wealth building, but it doesn't just happen. Becoming a successful investor requires a level of preparation (and patience) to set yourself up for success in the years to come. So, in this chapter we are going to go over the specific things you need to do to ensure that you are well-prepared to invest.

But first, what happens when you *aren't* well-prepared? Here are a few scenarios I've seen play out time and time again. Folks get excited about investing because they read something or heard something somewhere: a hot tip, a hot stock, the next big thing. The stock market looks great. Everything is on the up-and-up and they need to get on the train fast. They put a chunk of money into an investment, with no goals, no objectives, and no idea of their risk tolerance, and then one of a few things happens:

- Something comes up (a car repair, a girl's trip, a job loss) and they need the money right away—this minute, *now*. And so, they sell their investments with minimal or no gains and perhaps they even take on some losses (shout-out to those trading fees).